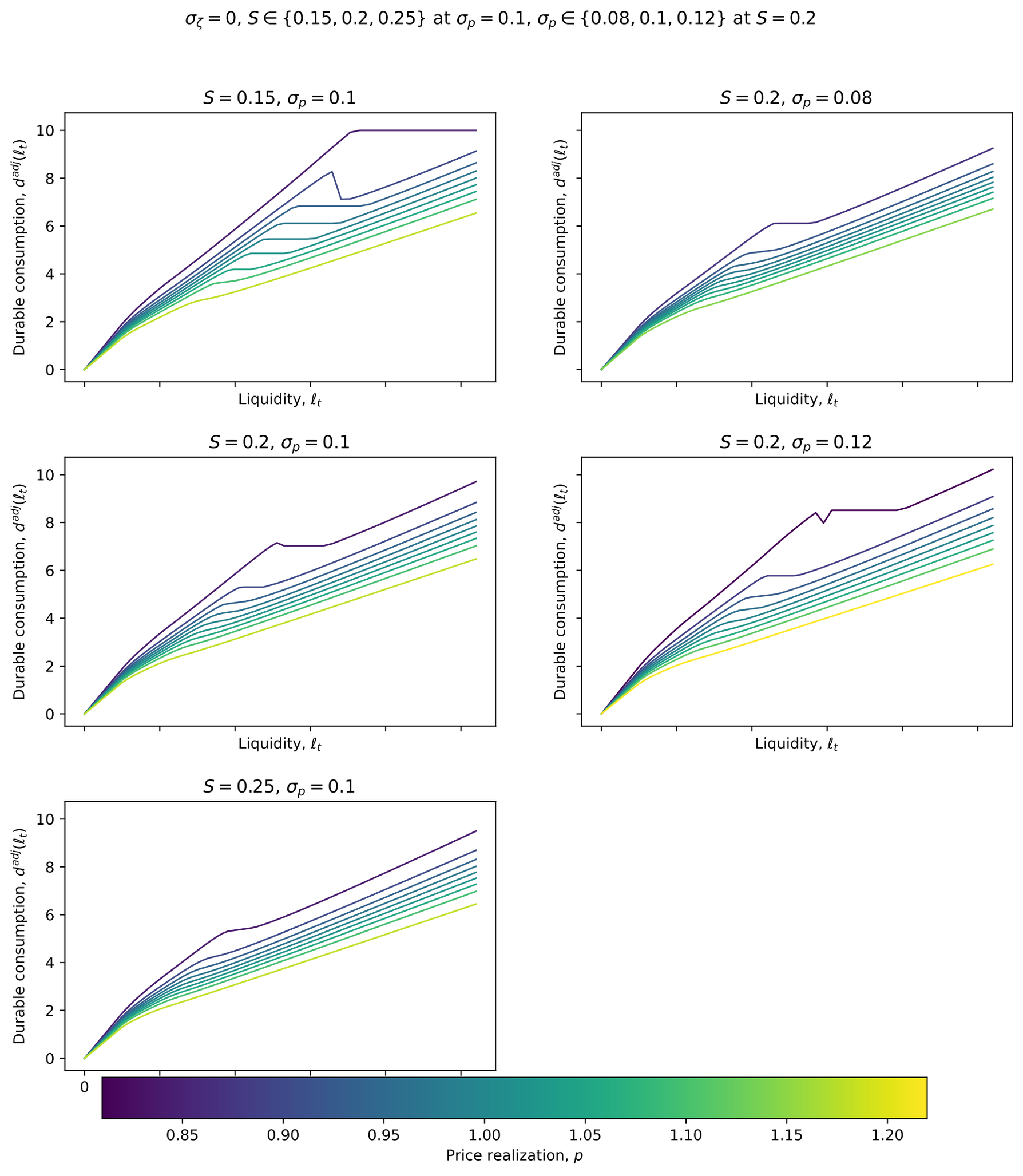

$\sigma_\zeta = 0$, $S \in \{0.15, 0.2, 0.25\}$ at $\sigma_p = 0.1$, $\sigma_p \in \{0.08, 0.1, 0.12\}$ at $S = 0.2$
$S = 0.15$, $\sigma_p = 0.1$
$S = 0.2$, $\sigma_p = 0.08$
$S = 0.2$, $\sigma_p = 0.1$
$S = 0.2$, $\sigma_p = 0.12$
$S = 0.25$, $\sigma_p = 0.1$
Durable consumption, $d^{adj}(\ell_t)$
Liquidity, ℓ_t
0
2
4
6
8
10
0.85
0.90
0.95
1.00
1.05
1.10
1.15
1.20
Price realization, p